MERIT

The operating system for your organisation

What it is, what it does, and the value it delivers

The Fragmented Status Quo

Six structural failures. Each measurable. Each addressable.

	THE PROBLEM	THE COST
Measurability	Performance is not captured or measured, only estimated or felt. Strategic decisions rest on intuition rather than evidence. *"The most important figures that one needs for management are unknown or unknowable, but successful management must nevertheless take account of them."*[11]	**3×** More likely to report significant improvements in decision-making at data-driven organisations[1]
Predictability	Delivery is managed through estimates and ranges. Reactive adjustment is the norm: most organisations have no objective basis for predicting outcomes. *"Static project plans in a dynamic system are a form of denial."*[3]	**$97M** Wasted per $1 billion invested due to poor project performance[2]
Transparency	There is no live picture. Progress is communicated through meetings and reports. Problems are only visible after the fact. *"Green doesn't mean healthy. It means 'no one wants to say otherwise.'"*[12]	**4×** Outperformance by companies rated as trustworthy, relative to peers, by market value[4]
Planning	Every delivery is planned from scratch. Past deliveries generate knowledge, but it remains unstructured and is never systematically applied. *"It borders on dereliction that organizations invest so few resources in studying what has succeeded and failed in past strategies, operational changes, and leadership approaches."*[13]	**3–4 hrs** Lost daily per employee to automatable tasks[5]
Evaluation	Selection and compensation both rest on subjective judgement. Neither reflects what people actually deliver. *"Managers and staff alike too often view performance management as time consuming, excessively subjective, demotivating, and ultimately unhelpful."*[10]	**75%** Average weight managers place on subjective impressions when evaluating employee performance[7]
Integration	Data is fragmented by function. Knowledge is fragmented by individual. Neither gap is visible until something breaks. *"Replacing a person is usually easier than replacing what they know."*[6]	**20–30%** Revenue lost to data silos[8]

The Organisation

Every organisation, regardless of what it delivers, is structured around the same two layers.

Delivery Functions

The core of the organisation.
Every function directly involved in producing the product belongs here.
From initial estimation through to quality sign-off.

Estimation → Planning → Design → Execution → Quality

Support Functions

The team that enables the delivery team to operate.
They provide the resources, compliance and infrastructure that delivery depends on.

Finance | HR | Legal | Operations | Procurement | IT

→ **Products**

The Core Model

A process-centric perspective of product delivery, as carried out by the delivery functions

Holistic and unbounded

Span your internal delivery ecosystem, or your entire B2B network.

Agents

People, skills and roles

Inventory

Tools, materials and equipment

Process

Configured steps, handoffs and workflows

Result

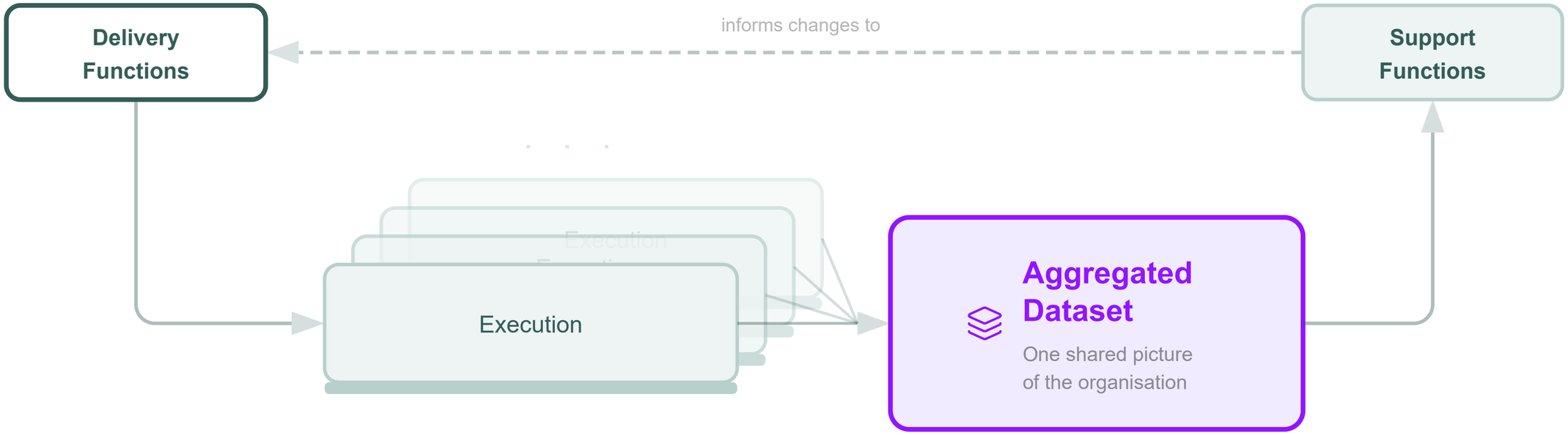
Products and outcomes delivered

How a delivery works

Each delivery is its own shopping list, drawing only the agents, inventory and process steps it needs from the master model.

One Dataset

Every execution contributes to a single dataset that the whole organisation reads from and improves upon.



What Changes

	BEFORE		WITH MERIT OI
Measurability	Performance not captured or measured, only estimated or felt	→	Every execution is recorded against the master model and contributes to the shared dataset *The master model provides the consistent structure that makes measurement possible across all deliveries*
Predictability	Delivery managed through estimates and ranges, with no objective basis for predicting outcomes	→	Modelled as a deterministic network. Predictions, not estimates. *The process model, trained on execution data, generates predictions rather than estimates*
Transparency	No live picture. Progress communicated through meetings and reports. Problems visible only after the fact.	→	Full visibility into the performance of every agent, partner, tool, material and process step *The aggregated dataset surfaces performance across all model components, not just at audit*
Planning	Every delivery planned from scratch. Manual, expertise-dependent and periodically refreshed.	→	The project map is generated automatically from the spec and the master model *The spec determines which process steps are needed; recommendations for people and inventory follow from delivery history and availability*
Evaluation	Selection and compensation based on subjective judgement. Neither reflects actual performance.	→	Selection ranked by demonstrated performance and availability. Compensation grounded in what was delivered. *The dataset records individual contribution at the delivery level; recommendations and reward follow from the data*
Integration	Each function holds its own data. Individual knowledge is unstructured and invisible to the organisation.	→	One shared, live picture across the delivery ecosystem *The master model captures what was previously held only in individuals; a single dataset eliminates the need for cross-function reconciliation*

The Compounding Advantage

Every execution makes the model smarter. Every project widens the gap.

IMMEDIATELY

- Delivery is predictable, not estimated
- Every decision grounded in real execution data
- Every project mapped automatically from the spec
- Deviations visible in real time, not discovered at audit
- All functions operate from one shared picture

Indicative impact
10–20% productivity uplift

OVER TIME

- The model learns from every execution
- Planning quality improves automatically
- Selection sharpens as the dataset grows
- Management structures thin as the model takes on coordination and reporting

Indicative impact
10–20% reduction in management costs

ENDURINGLY

- A proprietary dataset no competitor can replicate
- The longer it runs, the wider the gap
- Organisational intelligence that outlasts any individual

Indicative impact
5–15% reduction in total operational costs

The Organisation It Creates

Operational change at this scale has cultural consequences. Some of them are open questions.

Meritocratic culture

- Selection of people, tools and partners is determined by demonstrated performance, not habit or relationship
- Performance evaluation becomes objective and continuous, not periodic and subjective
- Compensation can be grounded directly in what was delivered. The data makes it defensible.

MACRO TRENDS

Pay transparency legislation

Outcome-based employment models

AI-enabled performance measurement

How does productivity shift when pay is tied directly to what each person delivers?

Trustless systems

- Individual submissions are validated against objective constraints: contracted hours, budgets and process timelines
- The system flags what does not add up. No submission is taken at face value.
- Coordination no longer depends on taking anyone at their word

MACRO TRENDS

Hybrid and distributed work

ESG auditability pressure

Real-time performance monitoring

What happens to the management role when the model handles coordination and reporting?

Organisational memory

- Knowledge that previously walked out the door with individuals is captured in the dataset
- Every execution improves future deliveries. The organisation gets smarter automatically.
- Onboarding, skills transfer and succession become less dependent on any individual

MACRO TRENDS

Great Resignation and high turnover

Aging workforce and succession risk

AI knowledge management

How does this change the economics of hiring and skills development?

What Leaders Want

Three desires that sit at the top of almost every leadership agenda.

To run leaner, without losing visibility or control

Every leadership team wants a thinner management layer. The blocker is always the same: what replaces the oversight?

"I can't tell you anything that's missing. Stuff we used to do in the past that we're not doing today. And if we're doing it today, we're doing it actually better."

Leo Quinn, Group CEO, Balfour Beatty, Full Year 2018 Results

To know, with certainty, who and what actually performs

Not feel. Not reputation. Not who is most vocal in the room. Leaders want objective ground truth on people, tools and partners.

"A centralised source of truth helps us at a project level, but also at an executive level because we have real data with integrity to base our decisions on."

Abhilash Kunnatoor Margabandu, Vantage Data Centers — Procore, 2024

To make decisions on evidence, not expertise or politics

Senior leaders consistently say they want data-driven cultures. The gap is that the data has never been structured around how work actually happens.

"58% of respondents say their companies base at least half of their regular business decisions on gut feel or experience rather than being driven by data and information."

BARC Research — Global Survey on Data-Driven Decision-Making, 2016

Sources & References

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   The Hidden Costs of Data Silos in Mid-Market CRMs and ERPs
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   "When systems don't share data automatically, an employee becomes the indispensable human translator"

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    "Managers and staff alike too often view performance management as time consuming, excessively subjective, demotivating, and ultimately unhelpful."

11. **W. Edwards Deming (citing Lloyd S. Nelson)**
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